

11.NATIONAL ACCOUNTS

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EXPLANATIONS AND DEFINITIONS

National Accounts for 1950 to 1995 were compiled according to the recommendations of the UN Statistical Office in 1968 (United Nations: A System of National Accounts, Studies in Methods, Series F, No. 2, New York, 1968). The national accounts for 1995 to 2018 are based on the SNA2008 system of national accounts prepared by five international organizations: UN, IMF, World Bank, OECD and Eurostat (System of National Accounts, 2008, Commission of the European Communities, International Monetary Fund, Organization for Economic Co-operation and Development, United Nations, World Bank, New York, 2009).

Gross domestic product: The sum of the gross values added of all resident producers (output less intermediate consumption), plus net taxes (taxes less subsidies on products) not already included in the value of output. GDP is also derived as the sum of expenditure on final consumption plus gross capital formation plus exports less imports. In addition GDP is derived as the sum of primary incomes distributed by resident producer units: compensation of employees plus gross operating surplus plus gross mixed incomes plus net taxes less subsidies on both production and imports.

Until 1995, the definition of gross domestic product was different, and it excluded net taxes on imports and included revenue components received for the exports.

Gross domestic product, at market prices, excluding net taxes on imports: The sum of the gross values added of all resident producers at producers' prices, plus all non-deductible VAT (or similar taxes), but excluding net taxes on imports. GDP excluding net taxes on imports is not subject to fluctuations due to changes in the amount and structure of taxation of foreign trade. Therefore, it is preferable to analyzing economic changes in the GDP including net taxes on imports.

Output: The value of goods and services produced by an establishment, excluding the value of any goods and services used in an activity for which the establishment does not assume the risk of using the products in production, and excluding the value of goods and services consumed by the same establishment (except for goods and services used for fixed capital formation or changes in inventories or own final consumption). In service industries, output equals the total compensation received for services that have been provided. The term "output" is distinguished from the term "revenue", which is used extensively in financial reports from the business sector. Revenue can include income from sale of goods that were not produced by the reporting establishment.

GDP of the business sector: The GDP of the whole economy, except the GDP of the general government sector, the GDP of non-profit institutions serving households, and the GDP of the industry of housing services of owner-occupied dwellings.

Private consumption expenditure: The aggregate of consumption expenditure of Israeli households and the consumption expenditure of non-profit institutions serving households, where the major part of their expenditure is not financed by the government.

Consumption expenditure of Israeli households: Expenditure of Israeli resident households for goods and services, including durable goods but excluding purchase of dwellings, in Israel and abroad.

Consumption expenditure of households in the domestic market: Due to the lack of detailed current statistics on the consumption of Israelis, the breakdown of consumption into components relates to the combined domestic expenditure of all households (both households of Israelis and of foreign residents) in the domestic market.

General government final consumption expenditure: Expenditure, including expenditure whose value must be estimated indirectly, incurred by general government on both individual consumption goods and services and collective consumption services.

General government final consumption expenditure also equals the value of its intermediate consumption of goods and services, compensation of employees, taxes on production (including taxes on wages and employers' tax) and consumption of fixed capital.

Actual individual consumption (formerly: individual consumption expenditure): The total value of household final consumption expenditure, non-profit institutions serving households' final consumption expenditure and government expenditure on individual consumption goods and services. A good or service for individual consumption is one that is acquired by a household and used to satisfy the needs of members of that household.

Collective government final consumption expenditure: Services provided simultaneously to all members of the community or to all members of a particular section of the community, such as all households living in a particular region. Includes expenditure on defence and public order and general administration expenditure.

Final consumption expenditure: The sum of household final consumption expenditure, government final consumption expenditure, and final consumption expenditure of non-profit institutions serving households. Final consumption expenditure may also be defined in terms of actual final consumption as the value of all the individual goods and services acquired by resident households plus the value of the collective services provided by general government to the community or to large sections of the community.

General government sector: Institutional units which, in addition to fulfilling their political responsibilities and their role of economic regulation, produce principally non-market services (possibly goods) for individual or collective consumption and redistribute income and wealth.

The general government sector in Israel includes the following units: government ministries, the National Insurance Institute, local authorities, national institutions, and non-profit institutions, where the above-mentioned bodies finance the major part of their expenditure.

Gross capital formation (formerly: domestic capital formation): The net acquisition of produced assets for purposes of fixed capital formation, inventories or valuables.

Change in inventories: The value of the entries into inventories less the value of withdrawals and less the value of any recurrent losses of goods held in inventories during the accounting period, including changes in: (a) stocks of outputs that are still held by the units that produced them prior to their being further processed, sold, delivered to other units or used in other ways; and (b) stocks of products acquired from other units that are intended to be used for intermediate consumption or for resale without further processing.

Capital stock: Includes tangible productive capital as well as intangible productive capital. Accordingly, capital stock does not include non-productive capital or financial assets. It also excludes inventories of raw materials, finished goods and work-in-progress.

Gross capital stock: The stock of fixed assets surviving from past investment and revalued at the purchasers' prices of the current period. This stock increases every year by the addition of gross domestic investment, and decreases by the value of assets whose economic life has ended.

Net capital stock: The sum of the written-down values of all fixed assets still in use. It can also be described as the difference between gross capital stock and accumulated consumption of fixed capital.

Consumption of fixed capital: The decline, during the course of the accounting period, in the current value of the stock of fixed assets owned and used by a producer as a result of physical deterioration, normal obsolescence or normal accidental damage.

Gross fixed capital formation: The total value of a producer's acquisitions, less disposals, of fixed assets during the accounting period plus certain specified expenditures on services that add to the value of non-produced assets.

Fixed capital formation of business companies, as well as companies from the government sector and non-profit institutions, is included.

Included are acquisitions of durable goods (except land and mineral deposits) for civilian use; work in-progress on construction projects; major improvements; road construction and other infrastructure projects; outlays on improvements to land and fruit plantations. Also included are intangible assets (acquisitions and own production of software, expenditure on exploration of minerals - oil and gas, and expenditure on research and development). Expenditure by the General Government on construction and equipment for military use is not included.

Gross domestic capital formation in infrastructure: Used for the entire economy, and includes buildings, construction work, and equipment in the following industries: transportation (including sea ports and airports, railways, and roads), communications, energy (including electricity, petroleum, and gas), water (including water, sewage, desalinization of sea water), and advance development (including preparation of area for businesses).

National balance sheet: A summary of the balance sheets of the domestic sectors in the economy. A breakdown of the value of assets and liabilities in the institutional sectors and in the overall economy at a given point in time.

Exports and imports of goods and services

Goods include: goods for final use; goods for processing; goods procured in foreign ports by domestic carriers; and non-monetary gold.

Services include: transport; travel; communications; construction; insurance; financial services; computer and information services; royalties and licence fees; other business services; personal, cultural, and recreational services; and government services that were not included in the above-mentioned items.

Exports of goods and services: Sales, barter, or gifts or grants, of goods and services by residents to non-residents.

Until 1995, the definition of exports included the components of compensation received by exporters.

Imports of goods and services: Purchases, barter, or receipt of gifts or grants, of goods and services by residents from non-residents. Until 1995, the definition of imports of goods and services included net taxes on imports.

Income received from abroad/paid abroad: Includes compensation of employees and income from property, as well as entrepreneurial income (from interest, dividends, and profits from reinvestment of foreign earnings) and interest paid for the public sector. Until 1995, this item did not include payments and receipts of interest of the public sector.

Property income: The sum of investment income and rent.

Gross national income (GNI): Gross national income (GNI) is defined as GDP plus net compensation of employees and property income receivable from abroad, plus taxes less subsidies on production receivable from abroad (that is, the GDP plus net primary income from abroad). GNI can also be measured at market prices as the aggregate value of the balances of gross primary income for all sectors. GNI is identical to GNP as previously used in national accounts.

Net national income (NNI): The aggregate value of the net balances of primary incomes summed over all sectors. Net national income equals gross national income after the deduction of consumption of fixed capital.

Net domestic product (NDP): Gross domestic product minus consumption of fixed capital.

Operating surplus: The surplus or deficit accruing from production before taking into account any interest, rent or similar charges payable on financial or tangible non-produced assets borrowed or rented by the enterprise, or any interest, rent or similar receipts receivable on financial or tangible non-produced assets owned by the enterprise.

Net national disposable income: Net national income plus all current transfers in cash or in kind receivable by resident institutional units from non-resident units minus all current transfers in cash or in kind payable by resident institutional units to non-resident units.

Primary incomes: Incomes that accrue to institutional units as a result of their involvement in processes of production or ownership of assets that may be needed for purposes of production.

Disposable income: Disposable income is derived from the balance of primary incomes of an institutional unit or sector by adding all current transfers, except social transfers in kind, receivable by that unit or sector and subtracting all current transfers, except social transfers in kind, payable by that unit or sector. This item is the balance in the distribution of secondary incomes account.

Private disposable income is equal to national income less taxes on income, contributions to national insurance and property income paid to the general government, plus interest payments and other transfers received by the private sector from the government and from abroad.

Adjusted private disposable income: Private disposable income plus current transfers in kind.

Net national saving: The difference between national disposable income at market prices and private and general government consumption expenditures.

Net private saving: Defined as the difference between private disposable income and private consumption expenditure. It includes the savings of

households, savings of private non-profit institutions whose expenditures are not financed mainly by the government, as well as net saving of the business sector.

Net saving of the general government: In the current account, net saving of the general government is the difference between current receipts and current expenditures of the general government.

Surplus on current transactions with the rest of the world: Calculated as the excess of current receipts over current disbursements in respect to transactions between Israel and the rest of the world.

A positive surplus means that the amount of national savings is higher than the domestic capital formation. In this case, Israel participates (directly or indirectly) in financing capital formation abroad. This is done through net capital transfers, net acquisition of intangible assets, and/or net acquisition of foreign financial assets. In the reverse case, when expenditures are higher than receipts, Israel uses foreign sources to finance the domestic capital formation.

Transfer: A transaction in which one institutional unit provides a good, service or asset to another unit without receiving from the latter any good, service or asset in return as a direct counterpart.

Current transfer: A transaction in which one institutional unit provides a good, service or asset to another unit without receiving from the latter any good, service or asset directly in return as counterpart and does not oblige one or both parties to acquire, or dispose of, an asset.

Transfers received from abroad or paid abroad are converted into Israeli currency at the official exchange rate.

Social transfer in kind (formerly: Current transfers in kind): Goods and services provided to households by government and NPIs, either free or at prices that are not economically significant.

Capital transfer: Capital transfers are unrequited transfers where the party making the transfer either realises the funds involved by disposing of an asset (other than cash or inventories), relinquishing a financial claim (other than accounts receivable) or the party receiving the transfer is obliged to acquire an asset (other than cash) or both conditions are met.

Taxes: Compulsory unrequited payments, in cash or in kind, made by institutional units to government units.

Taxes on income: Taxes on income, profits and changes in the value of capital.

- a. Taxes on income - from wages, property, capital gains, entrepreneurship, and pensions, as well as levies on financial assets, on equity of enterprises and on ownership of goods.
- b. Payments to the National Insurance Institute - both by the insured and by the employer.
- c. Mandatory payments for Israeli passports, court fees, etc.

Taxes and duties on imports: Taxes on goods and services that become payable at the moment when those goods cross the national or customs frontiers or when those services are delivered by non-resident producers to resident institutional units.

Other taxes on production: Includes all taxes (except taxes on products) that are incurred as a result of engaging in production.

Other taxes on production include: taxes on payroll; recurrent taxes on land, buildings, and other structures; business and professional licenses; taxes on use of fixed assets; stamp taxes; taxes on pollution; and taxes on international transactions.

Taxes on products: Taxes payable per unit of a certain good or service.

Capital taxes: Taxes levied at irregular and infrequent intervals on the value of assets or net worth owned by institutional units, or on the value of assets transferred between institutional units as a result of legacies, gifts inter vivos, or other transfers.

Subsidies: Subsidies are current unrequited payments that government units (including Israeli government units abroad) make to enterprises on the basis of the levels of their production activities or the quantities or values of the goods or services that they produce, sell or import. In addition to the direct current subsidies, this item also includes the subsidy component of loans to finance current activities, which are granted by the government to producers under preferential conditions at interest rates lower than those of the market (e.g., loans from export funds). However, this item does not include subsidies in the form of non-recurrent loans or loans that are not granted on a regular basis. The grant component in these loans is defined as capital transfer.

These capital transfers are presented in Table 11.10.

Subsidy on a product: A subsidy payable per unit of goods or services.

Treatment of Value Added Tax in the product account, at market prices:

The value of domestic uses of resources - private and general government consumption and capital formation - and the value of imports, including net VAT, i.e., VAT paid less VAT refunded.

The purchaser's price: The amount paid by the purchaser, excluding any deductible VAT or similar deductible tax, in order to take delivery of a unit of a good or service at the time and place required by the purchaser. The purchaser's price of a good includes any transport charges paid separately by the purchaser in order to receive the delivery at the required time and place.

The basic price: The amount receivable by the producer from the purchaser for a unit of a good or service produced as output minus any tax payable, and plus any subsidy receivable, by that unit as a consequence of its production or sale. It excludes any transport charges invoiced separately by the producer.

The CIF price (cost, insurance and freight): The price of a good delivered at the frontier of the importing country, including any insurance and freight charges incurred to that point, or the price of a service delivered to a resident, before the payment of any import duties or other taxes on imports or trade and transport margins within the country.

The FOB price (free on board): The market value of the goods at the point of uniform valuation (the customs frontier of the economy from which they are exported). It is equal to the CIF price less the costs of transportation and insurance charges, between the customs frontier of the exporting (importing) country and that of the importing (exporting) country.

Classification of product (by industry) in the national accounts is based on the Standard Industrial Classification of All Economic Activities, 2011, Technical Publication No. 80, with the following differences:

Agriculture. In the national accounts, the agricultural product is the difference between agricultural output of goods defined as agricultural produce, and inputs purchased from other industries. The classification is by goods and not

by establishments (agricultural farms), which are classified in the Standard Classification of All Economic Activities, 2011 by their main industry.

Imputed housing services: An item that is included in the product classification, but that does not exist in the Standard Classification of Economic Activities, 2011. This item comprises income deriving from housing services in residential dwellings owned by their tenants.

Non-profit institutions (NPIs) are divided into two types: (a) Public NPIs - institutions where the major part of their expenditure is financed by the government sector; and (b) NPIs serving households – institutions where the major part of their expenditure is not financed by the government sector.

SOURCES OF DATA AND METHODS OF COMPUTATION

NATIONAL EXPENDITURE

General government consumption expenditure is estimated on the basis of analyses of the Accountant General's budget performance reports as well as the budget provisions, and by addition of complementary data received from the Ministries of Finance and of Defence. The consumption expenditure of local authorities, national institutions, and non-profit institutions is estimated on the basis of data obtained from analysis of their financial and budget reports.

Private consumption expenditure: As of 1964, the results of the family expenditure surveys, which cover (since 1968/69) all urban families, were included in private consumption estimates. Estimates for previous years were based on the results of household expenditure surveys that covered only urban households of employees. The tables present two estimates for 1964, which was the year of transition.

The estimate of food consumption is based on data on marketing of agricultural produce, data on production and marketing of industrial food products and their prices, and data from the Household Expenditure Survey. The estimated expenditure for industrial products other than food is based on the Household Expenditure Survey, as well as on data on production and marketing of industrial products to the domestic market, and on foreign trade statistics.

The estimate consumption of housing is based on the findings of household expenditure surveys as well as on data on the increase in the area of residential building and data on changes in the prices of housing services. Many of the estimates in the item "other services" are based on the findings of household expenditure surveys and on interpolation according to various indicators for the years between the surveys. Other estimates (such as electricity supply, person-nights in hotels and visits to cinema) are based on the relevant quantity and price data.

Estimates of gross capital formation in fixed assets and capital stock are based mainly on the following:

- a) Data on imports of machinery, equipment, and transportation vehicles;
- b) Reports on revenue from sales of investment goods from domestic production;
- c) Quarterly estimates of the area of construction begun and construction completed.
- d) Data received from government ministries, public institutions and major enterprises on the extent of their investments.

- e) The Research and Development Survey, which estimates the expenditures of the business sector on research and development activities.
- f) Estimates of gross and net capital stock and consumption of fixed capital (which also include data on investments for the current year) relate to 31 December of each year. The data are taken from a quarterly system, in which the annual estimates of gross capital stock and net capital stock are the data of the fourth quarter of each year, and the estimate of consumption of fixed capital is the sum of the four quarters of each year.

Estimates of change in stocks are based on:

- a) Data held by the government on quantities of agricultural produce stocks, stocks of fuel, and stocks of essential products;
- b) Data from the industry and crafts surveys on the value of stocks held by enterprises;
- c) The estimated change in stocks of diamonds is based on the difference between exports and imports at constant prices.
- d) Value of unsold output in start-up companies for software and R&D, estimated on the basis of data on investments of venture capital funds in these companies.

Imports and exports of goods and services: Estimates are based on data from the balance of payments (Chapter 12 – International Accounts, and Chapter 13 – Imports and Exports of Goods and Services).

Estimates of changes in the number of employed persons, employees, and work hours of employed persons and employees in Israel are generally based on the findings of the Labour Force Survey in Israel. Estimates for workers from the Palestinian Authority who are employed in Israel were based on data from the Labour Force Survey conducted by the Palestinian Authority. Prior to 1996 the data were based on findings from households surveys in Judea, Samaria and the Gaza Area as well as on data from the Employment Service.

The estimate of the number of foreign workers is derived from a calculation of the net number of arrivals to Israel of foreign residents from developing countries who are not tourists, new immigrants, diplomats, or students.

Compensation of employees: Obtained by calculating the sum of labour costs in each industry, based on manufacturing surveys such as the Survey of Industry. For activities where no survey was carried out, estimates are based on administrative reports such as employers' reports to the National Insurance Institute or the reports of the Accountant General.

Compensation of non-employees (employed persons who are not employees - employers, self-employed persons, members of co-operatives and kibbutzim, and unpaid workers in a family-operated enterprise): Estimated by multiplying the number of work hours by the average compensation of employees per hour in the relevant industry.

Constant price estimates for the continuous series of the GDP and its components at 1995 prices (Table 11.1), for 1950-1995, were compiled separately for each main expenditure item (consumption, capital formation, etc.) and for the Gross Domestic Product by chaining the annual quantitative changes, which were obtained at prices of various base years. The estimates for 1995 to 2018 (Table 11.2) were computed at the prices of the previous

year, and chained at 2015 prices. As a result of chaining, the estimates of each component group of the GDP do not add up to the total expenditure on the GDP.

Private consumption estimates at constant prices were obtained either directly by using quantitative data, or indirectly by deducting the current price values in the appropriate price indices.

For general government consumption estimates, quantitative changes in the expenditure on wages were computed according to the change in the labour inputs. Other current expenditures were generally deflated by the wholesale price indices of industrial output, which were weighted according to characteristic production activities of the various expenditure items.

The gross capital formation estimate at constant prices was based on the building cost index and the equipment price index in Israel and in the principal countries of import.

Estimates of imports and exports of goods at constant prices are obtained by multiplying the value of imports or exports in US dollars at constant prices by the exchange rate effective during the base year. Data are calculated in US dollars at constant prices, according to dollar indices specified for main commodities. Estimates of imports and exports of services at constant prices are computed by deflating current price estimates using price indices specified by type of service.

Non-profit institutions (NPIs): The value of the income and expenditure of NPIs is estimated on the basis of data relating to: income from sales, income from current and capital transfers, labour cost, other current expenditures, etc. These data are obtained from surveys that are based on analysis of financial reports of a sample of NPIs. The surveys conducted in 1991, 2004, 2006, 2009, 2011, 2013 and 2015 included all NPIs in Israel. The surveys conducted in other years covered the four major fields of activity. As of 2011, the field of welfare activities was added to the annual surveys.

National balance sheet: Non-financial fixed assets were recorded in accordance with net capital stock estimates, which were prepared by the Central Bureau of Statistics in accordance with the distribution of these assets among institutional sectors.

The sources of data for calculation of the financial assets of the different sectors were:

- a. The Survey of Trade, Services, Transport, Communications and Construction Survey, the Manufacturing Survey, and the Non-Profit Institutions Survey of the Central Bureau of Statistics.
- b. The Bank of Israel, Supervisor of Banks, Annual Information on the Banking Corporations.
- c. Financial statements of the Bank of Israel and the various banks.
- d. Reports of the Ministry of Finance, Capital Market Department.
- e. Data from the Israel Stock Exchange.
- f. Financial statements of the Israeli government.
- g. Ministry of the Interior – Report on Financial Data of Local Authorities.

If no sources of information were available on the assets and liabilities of a given institutional sector such as the sector of households, two methods were used to prepare the national balance sheets:

- The “counterpart” method - assets and liabilities were recorded according to their value in the balance sheet of other institutional units in the economy that hold parallel assets and liabilities. This was done because every asset or liability must have a parallel asset or liability.
- The “residual derivation” method - if the amount of the asset or liability held by one sector is known, then it is calculated by deducting the amounts of assets and liabilities held by the other sectors from the total value of the asset or liability.

NATIONAL INCOME

The total national income is estimated by summing of the income (net product) derived from each industry.

In most industries (agriculture, manufacturing, construction, and commerce), an estimate of total accrued income is obtained by deducting the estimate of purchased inputs from the output estimate. In other industries, income is measured directly by summing up payments to production factors, i.e., payments of wages and salaries, interest, rent and lease fees, and net profit.

REVISED ESTIMATES

In the 2019 Statistical Abstract, revised estimates were introduced for the period 1995-2018, in comparison with data published in the previous Statistical Abstract. The revisions were introduced after receipt of updated data. Furthermore, methodological improvements were made in order to adapt the national accounts of Israel to international requirements.

The main revisions entered into the estimates are:

1. Revision of the private consumption series:

- Estimates of private consumption expenditure on various manufacturing and services and on food products for 2017-2018 were updated following integration of the findings from the 2016 Household Expenditure Survey.
- Estimates of expenditures for services were updated in 1995-2018 for the following items: Financial intermediation services indirectly measured (FISIM), expenditures for financial services and life insurance policies, based on the data from the Capital Market Division at the Ministry of Finance. In addition, estimates of expenditures of Israelis abroad and expenditures of foreign residents in Israel were updated following updates in the Balance of Payments.
- Car maintenance expenditures as a wage benefit were updated for 1995-2018, based on data of kilometers travelled from the Ministry of Transport file and the number of jobs from the employees' income tax files for 2017.
- Estimates of expenditure on services at a price lower than market price were revised for 1995-2018.
- Estimates of expenditures on internal flights for 2006-2018 were revised on the basis of data on the movement of passengers to Elat obtained from the Airport Authority.
- Expenditure on travel by train was updated for 2018 according to data from Israel Railways, and the data on the travel of soldiers, which is deducted from passenger income, was updated as well.

- g. The expenditure on energy for the propulsion of vehicles has been revised for 2006-2018, which were based on the Ministry of Transport's motor vehicles file, which includes data on the kilometers travelled of vehicles, divided by type of ownership and type of car motor. In addition, expenditure on fuel for home use have been revised for 2006-2018.
- h. Estimates of expenditures for housing were updated for 2016-2018 on the basis of Household Expenditure Surveys, combined with estimates based on the Dwellings Register.
- i. Estimates of expenditures for food, beverages, and tobacco relating to 2006-2018 were updated on the basis of updates in the expenditure on agricultural food products: fruit and vegetables for 2017-2018 were updated based on data of the Plants Production and Marketing Board.
- j. Estimates of expenditures for purchases of imported and second-hand vehicles were updated once again for 2018 on the basis of the Vehicle Register of the Ministry of Transport and Road Safety for 2018.
- k. Estimates of expenditures for electricity consumption were updated on the basis of publications of the Israel Electric Corporation for 2018.
- l. Estimates of expenditures of Israelis on websites abroad (personal imports of goods) were updated for the period 2006-2018 on the basis of revisions of reports from credit card clearing companies and following the revision of the import price index with the addition of the impact of changes in currency exchange rates.

2. Revisions of estimates of general government consumption expenditure:

- a. The general government consumption estimates were revised as of 1995. The revision was carried out after receipt of final financial reports from the central government, the National Insurance Institute, local authorities, national institutions, and non-profit institutions.
- b. Following receipt of the above-mentioned reports, the rest of the series in the general government sector were also updated as of 1995, such as: data on income from property, data on income from taxes, current transfer payments, capital account transfers, gross fixed capital formation, etc.

3. Revision of the series of gross capital formation and capital stock:

- a. Estimates of capital formation in construction as of 2009 were adjusted on the basis of updated data on the construction area upon completion of residential buildings and non-residential buildings. Also, data on capital formation of local authorities, as well as capital formation in roads and in other construction projects were updated on the basis of new reports received.
- b. Revision of estimates of capital formation in intellectual property: The data on capital formation in own production of

software as of 2016 were updated on the basis of updated data received on wages. The data on capital formation in R&D for 2016 were updated on the basis of the latest data from the R&D Surveys and the survey of imports and exports of services.

4. Revision of the estimates of imports and exports of goods and services:

- a. Imports and exports of goods and services were updated for the period 2007-2018, according to revisions in the Balance of Payments, which included the following regarding exports: Updating data on international trade in goods that do not cross Israel's borders, and a revision due to expanding the correlation between the data on trade in goods and the direct reports of additional companies; regarding imports the revisions included an estimate of purchases of goods by Israelis from sites abroad that are not included in customs data.
- b. Estimates of imports and exports of tourism services from 2017-2018 were updated in accordance with revisions to the Balance of Payments, which were based on a new estimate calculated by the tourism statistics sector.
- c. Imports and exports of business services were revised for 2013-2018, in accordance with revisions in the Balance of Payments.
- d. Indices of imports and exports and other business services were updated for 2014-2018 due to revisions published by the USA Bureau of Economic Analysis.
- e. Income received and paid abroad was revised in 2018 following the receipt of revised data from the Bank of Israel.

5. Changes to Table 11.9 (Revenue and Expenditure of Government, Local Authorities, National Institutions and Governmental Non-Profit Institutions):

The series Revenue from Assets was revised due to methodological changes made in accordance to the requirements of international guidelines to calculate the data on **nominal** interest. Until now, the revenue from government sector assets that was published was calculated using the **real** method, i.e. without indexation differentials. From now on, Revenue from Assets will include indexation differentials. The revision was made for 1995-2018.

6. Revisions to the estimates of the product by industry in the national accounts:

- a. The product of industries was updated in accordance with data from the 2016 survey of industries.
- b. The adjustments to the survey data were newly calculated, with increased industry breakdown, in order to bring them into line with the updated, accepted international definitions.
- c. The product of Agriculture was updated in accordance with data on agriculture in Israel for 2018, which were published by the Agriculture, Environment, and Energy sector at the Central Bureau of Statistics.
- d. The product of the Construction industry was updated in accordance with revised estimates of capital formation in construction, as indicated in Section 3, revised series of gross capital formation.

7. **Estimates of the national expenditure on education** are presented in Chapter 4 - Education; estimates of the national expenditure on research and development in Chapter 17 – Science, Technology and Communications; estimates of the national expenditure on health are presented in Chapter 3 - Health; estimates of the national expenditure on culture, entertainment and sports are presented in Chapter 5 - Culture, Entertainment and Sport; and estimates of the public expenditure on environmental protection are presented in Chapter 22 - Environment. Data on government expenditures and expenditures of national institutions and local authorities according to purpose appear in Chapter 25 – General Government Sector.

DEFINITIONS OF WAGES, COMPENSATION AND LABOUR COST

This chapter presents all of the definitions of wages and labour compensation that appear in various chapters of the Statistical Abstract. The definitions are based on the international guidelines for recording wage expenditure and labour cost, as presented in the Manual on National Accounts SNA2008, and on the publications of the International Labour Organization (ILO).

1. **Gross wages:** Remuneration in cash or in kind payable by an employer to an employee in return for work done during the accounting period, including compensation for time that the employee did not work, such as yearly vacation, absences, and other paid vacations.

Wages include:

Remuneration in cash: Payments such as basic wages, cost-of-living allowances, seniority payments, advance payments, overtime, premiums, various benefits, allowances, grants and supplements (current or non-recurring) such as: on-call, shifts, 13th-month salary, transportation, education and proficiency allowances, car allowance, and convalescence pay.

Remuneration in kind: Payments such as contributions for car benefits, for mobile phones, holiday gifts, courses, on-the-job training, and travel abroad.

Wages do not include:

Social contributions payable by employers such as: pension funds, provident funds, study funds, national insurance, and health insurance.

Wages also do not include severance payments.

Wage data published by the Central Bureau of Statistics are based on administrative information or financial reports from companies or households.

2. **Supplementary expenses for wages and salaries (employers' social contributions):** These include social contributions payable by employers, such as: actual contributions to the National Insurance Institute, to pension plans, provident funds, study funds, etc. In addition, these expenses include imputed contributions to pension expenses for employees, which derive from the employer's obligation to pay the workers' retirement pensions instead of contributing to pension funds, for example, imputed contributions to budgetary pension schemes for civil servants.
3. **Taxes on wages and salaries:** Taxes levied on employers for wage and salary expenses, such as payroll tax and employers' tax.

4. **Other components of labour cost:** Expenses for vocational training, welfare, recruiting workers, and providing work clothes, maintaining a cafeteria, payments to professional organizations, etc.
5. **Compensation of employees / compensation for employee jobs (formerly: Compensation of employees):** Compensation of employees is defined as the total expenditure for wages and salaries and supplementary expenditures for wages and salaries (items 1+2).
6. **Imputed compensation of non-employees / imputed compensation for non-employee jobs (formerly: Imputed compensation of non-employees):** Compensation of non-employees (employed persons who are not employees - employers, self-employed persons, members of cooperatives, kibbutz members, and unpaid workers in household enterprises) is the imputed value estimated as the number of work hours multiplied by average compensation of employees per hour in the industry that they are employed in.
7. **Compensation of employed persons / compensation for jobs (formerly: Compensation of employed persons)** Compensation of employed persons/compensation for jobs includes compensation of employees/employee jobs and the imputed value of compensation of non-employees/non-employee jobs (items 5+6).
8. **Labour cost:** Labour cost includes compensation of employees/employee jobs, taxes on wages and salaries, and other components of labour cost (items 4+3+5). There may be cases in which reported labour costs include only compensation of employees and taxes on wages and salaries (items 3+5). In those cases, it is recommended to classify the item as a labour cost for employees as well.

INPUT-OUTPUT
SUPPLY TABLE
(Table 11.23)

Table 11.23 presents data on the supply of the Israeli economy for 2015 and 2016. The Supply Table is part of a system of supply and demand tables that follows the United Nations recommendations presented in A System of National Accounts, Studies in Methods.

The table was published in accordance with the Standard Industrial Classification of All Economic Industries 2011, and is based on the last Input-Output table which was prepared for 2006.

Aims of the table:

- a. To present a detailed analysis of the production process in the economy.
- b. To provide a framework for examining the consistency of the statistical system on the flow of goods and services received from various sources – industry surveys and foreign trade statistics.

The Supply Table presents data on the total sources that were available to the economy in a given year, both from imports and from local output. Sources are listed according to characteristic groups of commodities produced in each industry – in basic prices and in purchaser's prices. The basic prices are the cost prices, including subsidies but not including expenses for marketing, transport, and taxes. Purchaser's prices are obtained by summing up the

supply data in basic prices, marketing and transport margins, and net taxes. Import data are presented according to the CIF value, including transport and insurance, but they are adjusted to the FOB value. The adjustment to the FOB value is calculated by deducting transport and insurance expenses in Israeli companies. For further information, see the 2006 Input-Output tables on the CBS website.

SOURCES OF THE DATA

Output at basic prices: The output for 2015 is based on data from agricultural statistics, the surveys of industries, and national accounts estimates of output in the Construction industries, government, national institutions, local authorities, and nonprofit organizations (public and private). Output data for 2016 were estimated on the basis of the 2015 survey of industries, and changes in revenue were based on VAT data, as well as on indices of Manufacturing, Mining and Quarrying.

Imports: Based on detailed data on imports of goods and service transactions.

Net taxes: Based on data about taxes on imports within the system of foreign trade, and of the National Accounts estimates of taxes on domestic production, less subsidies for products.

INTERNATIONAL COMPARISONS PURCHASING POWER PARITY (Tables 11.24-11.29)

Explanations and Definitions

This paragraph presents comparisons of statistical data on Israel with data on other countries, particularly countries that are members of the Organization for Economic Cooperation and Development (OECD). Different countries tend to publish their data using definitions and formats that are convenient for them. Therefore, in order to solve problems related to the accuracy of comparisons, this chapter presents information that is usually taken from the sources of international organizations such as the United Nations, OECD, ILO, etc., which prepare data in a way that allows for comparison.

The international comparisons project was conducted for 47 countries: 35 countries participating in the comparative research project conducted jointly by the OECD-Eurostat were members of the OECD, and 12 countries were not members.

The project was coordinated jointly by the OECD and the statistics office of the European Union (Eurostat). The aim of the project was to conduct an international comparison of the Gross Domestic Product (GDP) and its component expenditure per capita.

For that purpose, special currency conversion rates - Purchasing Power Parities (PPPs) – were constructed, which provide a basis for conversion to a common currency and equalizing the purchasing power of different countries. The GDP, which is calculated by the PPP, is in fixed prices and the differences in the GDP levels between countries reflect only differences in the volume of goods and services purchased.

The price level and volume indices (expenditure per capita) were calculated on the basis of the average of the 35 member countries of the OECD.

Price level indices - were derived by dividing the value of the Purchasing Power Parity (PPP) of each country by its regular exchange rate.

Volume indices – were derived by dividing the average GDP per capita in each one of the countries, by the average of all the countries participating in the calculation.

SOURCES

The data in Tables 11.24-11.27 are based on estimates, and were derived from the publications of the OECD. Israel participate in the project as a full member of the OECD, therefore, estimates for Israel were also calculated by the OECD in the same way as the estimates for the other countries.

The data presented in Tables 11.28 and 11.29 relate to 2014, and were collected in 2014-2016. To calculate the PPPs, data on prices were collected for a broad range of goods and services (approximately 3,000 items), according to specific definitions determined for all of the countries participating in the project. For services provided to households at a reduced rate or free of charge, data on input prices were collected. In order to weight the PPP value and to calculate the product and expenditure items, the relevant expenditure data in the national accounts were used.

SELECTED PUBLICATIONS

SPECIAL PUBLICATIONS

1016 Non-Profit Institutions in Israel 1991

1077 Survey of Income and Expenditures of Non-Profit Institutions, 1980-1996

1097 National Accounts of Israel 1950-1997

1099 Gross Domestic Fixed Capital Formation 1950-1997

1151 International Comparison Programme (ICP) - International Comparison of Gross Domestic Product and the Main Expenditure Components in Terms of Purchasing Power Parities (PPP), 1996

1425 Survey of Products and Materials in Manufacturing 2006
Survey of Import Destinations 2006 (Internet only)

1453 National Balance Accounts 2009

1467 Supply and Use Table 2006 and Supply Table 2007-2008

1508 Survey of Trade, Services, Transport, Communications and Construction 2009

1510 Manufacturing Survey 2009

1561 Input-Output Tables, 2006

1742 National Accounts 1995-2017

1753 Private Consumption Expenditure by Industry 1995-2017

1748 General Government Sector Accounts, 2000-2017

JUBILEE PUBLICATIONS (on the occasion of Israel's 50th year)

National Accounts (No. 3 in the series)